HOUSE BILL 2243
By Martin B

SENATE BILL 2070

By Watson

AN ACT to amend Tennessee Code Annotated, Title 8; Title 56 and Title 71, relative to healthcare provider reimbursement.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Stopping Health Insurers from Excluding Legal Decisions (SHIELD) Act."

SECTION 2. Tennessee Code Annotated, Title 56, Chapter 7, Part 10, is amended by adding the following as a new section:

56-7-1022. Prohibition on penalizing providers for patient vaccination exemptions.

(a) As used in this section:

(1) "Exempt patient" means a patient, or the parent or legal guardian of a minor patient, who has declined a specific vaccination or series of vaccinations and has provided the healthcare provider with a written statement of refusal based on religious tenets or medical contraindication as recognized under § 49-6-5001 or other applicable state law;

(2) "Health insurance entity" has the same meaning as defined in § 56-7-109; and

(3) "Quality measure" means a metric, standard, or benchmark used by a health insurance entity to determine a healthcare provider's reimbursement rate, incentive payments, bonus structure, star rating, or network participation status, including, but not limited to, the Healthcare Effectiveness Data and Information Set (HEDIS).

(b) A health insurance entity shall not calculate a quality measure, quality rating, incentive payment, or reimbursement tier for a healthcare provider by including any exempt patient in the denominator of any vaccination-related metric.

(c) If a healthcare provider submits documentation to a health insurance entity indicating that a patient is an exempt patient, then the health insurance entity must exclude the patient from the calculation of the provider's vaccination rate performance or any other quality metric derived from vaccination status.

(d) A health insurance entity shall not terminate a healthcare provider from a network, reduce a provider's reimbursement rate, or withhold an incentive payment solely because the provider retains exempt patients in the provider's practice.

(e) For purposes of timely reimbursement under § 56-7-109, a claim for reimbursement that is denied, reduced, or recouped by a health insurance entity in violation of subsection (b) or (d) is a clean claim, as that term is defined in § 56-7-109, and is subject to the interest penalties and remediation requirements set forth under § 56-7-109.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it, and applies to contracts entered into, renewed, amended, or delivered on or after that date.